SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

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MACRO REGIME: Mixed / Transitional

VIX 17.5 (-1.8 vs 20d) | SPY 20d -1.6% | IWM 20d +2.9% | IWM/SPY trend +4.5%

Leaders: Cons Disc (+6.7%), Healthcare (+6.6%), Real Estate (+6.2%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (0)
	AXGN	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	AXGN	AxoGen, Inc.	Surgical Innovation	$3.50B	$58.63	$59.72	1.9%	+22.2	YES	YES

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

AXGN

AxoGen, Inc.

$58.63

Pivot $59.72 | 1.9% away

RS vs SPY: +22.2%

B BUILDING

$3.50B Cap | 55M Float

Regenerative Medicine - Peripheral Nerve Repair | Theme: Surgical Innovation / MedTech Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 9.9

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$59.72**
% to Pivot	**1.9%**
Days in Base	**1**
Tightness	**9.94 Fair**
52W Hi Prox	**98.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1951k <**
Wk2	**1796k <**
Wk3 (oldest)	**2094k**
Coil Strength	**6.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.50B**
Float	**55M sh**
P/E (TTM)	**-**
Fwd P/E	**83.1**
Rev Growth	**26.2%**
Short %	**13.3%**
Inst. Own	**-**
Target Pr.	**$59.09**

ENTRY TRIGGER

Close above $59.75 on volume >150% of 20-day average (>2.2M shares)

Target: $72.00 - measured move from 15-point base depth ($45 low to $60 pivot) added to breakout, representing +23% from pivot

Stop: $52.00 - below earnings gap support and would negate the entire post-Q3 base structure

CATALYST INTELLIGENCE

EARNINGS

Reported Oct 28; next print likely late Jan/early Feb 2027. Q3 showed 26% YoY revenue growth with path to profitability narrowing - guided FY26 revenue $270-275M (Street ~$272M). Trailing 4Q pattern: beat/beat/beat/beat on revenue, EPS inflecting from losses toward breakeven. No formal raise but management tone constructive on margin expansion. No near-term investor day announced. Impact: Earnings - Medium (next print >10 weeks out).

BUSINESS & POSITION

AxoGen is the only company with an FDA-cleared portfolio of processed human nerve allografts and synthetic conduits for peripheral nerve repair, targeting trauma, oncologic resection, and complex reconstructive surgery. Category creator and dominant player in a niche $1.5-2B TAM growing mid-teens as surgeon awareness expands and trauma volumes normalize post-COVID.

FACTOR & THEME

Healthcare sector is leading (+6.6% 20d), providing favorable sector tailwind. Taps the MedTech recovery theme as elective/reconstructive surgical volumes rebound; sentiment accelerating as orthopedic/surgical peers (GMED, NUVA, PODD) have guided above consensus. Read-through: MedTech small-caps with proprietary platforms have seen multiple expansion through 2026.

NEWS FLOW

Oct 28 Q3 beat drove gap-up from mid-$40s into current base; no material corporate catalyst since. No FDA pipeline events imminent - Avance Nerve Graft is already cleared and commercial. Russell 2000 constituent (no rebalance until June 2027). Short interest elevated at 13.3% / 3.6 days-to-cover - squeeze potential exists if breakout volume materializes. Catalyst type: Corporate - Low (no near-term catalyst identified beyond technical breakout).

INSTITUTIONAL

Volume dry-up (partial) with price holding <2% of 52W high suggests quiet accumulation by funds positioning post-earnings. Institutional ownership data unavailable from this feed (yfinance gap). Zero insider open-market buys in last 60 days - baseline for most names but absence noted given elevated short interest where insider confidence signal would add conviction. Float of 54.6M shares is liquid enough for mid-size growth funds but small enough for concentrated positioning to move price.

KEY RISK

Thesis invalid on a daily close below $52.00 (the earnings gap zone and 10-week moving average area), or if Q4 guidance disappoints on margin trajectory. Primary bear case: 13.3% short interest reflects real concern over path to sustained profitability - debt/equity of 3.9x and -5% operating margin mean any revenue miss creates dilution/financing risk. Binary risk is low (no FDA events) but execution risk on profitability timeline is medium.

RS line at 52W high in a leading sector (Healthcare +6.6%) with price coiled <2% from pivot post-earnings gap - institutional accumulation signature is present. However, structural quality is B-tier not A: base_tight at 9.94 is extremely loose (well above 2.0 threshold), vol dry-up is partial not strict (W3 expanded), and the 1-day base duration means this is a high-level consolidation not a classic VCP. No near-term catalyst beyond technical breakout, and 13.3% short interest without insider buying confirmation adds risk. Strongest disconfirming argument: loose base + no catalyst + elevated shorts = this could be a failed breakout trap rather than institutional launch pad. Mixed/transitional regime adds uncertainty. Conviction: Medium.

AXGN - Technical Chart

